ENTERPRICE RESOURCE MANAGEMENT (ERP) IMPLEMENTATION AGREEMENT BETWEEN:

TRIMLINE SYSTEMS & SOLUTIONS

AND

GITHERE CO-OPERATIVE SAVINGS & CREDIT SOCIETY LIMITED

AUGUST 2021.

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INTRODUCTION

Whereas the SUPPLIER is able to offer Software, development and support services, purchased from the SUPPLIER by the CLIENT, and which services to be rendered by the SUPPLIER to the CLIENT as described herein. And whereas the CLIENT desires to procure and the SUPPLIER is prepared to provide the software, support and/or development services subject to the terms and conditions set out in this agreement.

1. DEFINITIONS

In this AGREEMENT and the Appendices and/or Special Terms hereto, the words and terms defined in this section will have the meanings ascribed to them, unless inconsistent with or otherwise required by or indicated in the context;

1.1 AGREEMENT

Means the whole formed by these contractual provisions, complemented where applicable, by the Appendices and/or Special Terms, signed by both Parties, to the exclusion of any other document, notably those which may be issued by the CLIENT before or after the execution of the AGREEMENT.

1.2 APPENDICES AND SPECIAL TERMS

Means and includes all documents attached to this agreement and signed by the parties. These are deemed to be incorporated in and form an integral part of this agreement.

1.3 DESIGNATED SITES

Means the Head Office of the CLIENT and Branches indicated to the SUPPLIER by the CLIENT for the purpose of rendering the SERVICE;

1.4 EFFECTIVE DATE

Means the consent date of this agreement.

1.5 PARTIES

Means the SUPPLIER and the CLIENT collectively and PARTY shall mean either one of the PARTIES;

1.6 CLIENT

GITHERE CO-OPERATIVE SAVINGS & CREDIT SOCIETY LIMITED

1.7 SUPPLIER

TRIMLINE SYSTEMS & SOLUTIONS

1.10 PROPRIETARY INFORMATION

Means and includes the policies, procedures, knowledge, processes, systems, financial and business information, methodologies, documentation or any other information reasonably identified as confidential and proprietary information to either the SUPPLIER or the CLIENT.

1.11 PROJECT STEERING COMMITTEE

Means a committee consisting of representatives from the PARTIES that would meet at pre-determined intervals to review the progress of the project.

1.12 REQUIREMENT SPECIFICATION

Means a report to be produced by the SUPPLIER following an initial analysis of the CLIENT'S business. It summarizes the CLIENT'S requirements from the business application system being implemented. The SUPPLIER will configure the business application system to meet these documented requirements.

1.13 SERVICE

Means the technical support and/or consultancy services provided by the SUPPLIER on CLIENT'S initiative, and under the CLIENT'S technical supervision and responsibility.

1.14 SUPER USERS

Means employees of the CLIENT who have a sound knowledge of a key area of the CLIENT'S business and its business applications as they are processed at present.

The SUPER USERS are appointed to the project team and actively participate in the project to ensure that the requirements for the business area they are knowledgeable in are met by the new system.

1.15 SYSTEM

Means the business application system configured and customized to meet the CLIENT'S requirements as set out in the Requirements Specifications report.

2. DURATION

This agreement shall instigate on the Effective Date and will remain in force until termination in accordance with the terms and conditions as set out herein.

PRICING AND REMUNERATION

3.1 Prices for API

I. The CLIENT shall pay Kshs. 150,000.00 as shown below:

No.	Item Description	Costing (Ksh)
	Members and Finance	50,000.00
	Loans Management	50,000.00
	Mobile App, Sms and Mpesa integration	50,000.00
Total		**150,000.00**
	Sms sender id Setup	**15,000.00**
	Sms cost(per sms)	**1.00**
	Server hosting (Monthly)	**5,000.00**
	Amount is exclusive of VAT	
	Annual Maintenance Contract (AMC) is charged at 15% of the Total fees payable 6 months after systems GO LIVE	

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Terms Of Payment	Amount (KES)
50% On Order	**75,000.00**
50% On Go-Live	**75,000.00**
Total Payment	**150,000.00**

II. Additional developments to the system after successful development of initial CLIENT'S business requirements will be charged on man-day basis at agreeable rates.

3.3 Remuneration

I. The prices above include all project costs. These include such costs as travel, meals, accommodation and other costs incidental to the provision of the software within the CLIENT'S Head office.

II. If the provision of any service is requested to be provided at sites outside CLIENT Head Office, the cost of travel and accommodation per day for each consultant, will be payable by the CLIENT to the SUPPLIER. These arrangements will be agreed between the SUPPLIER and the CLIENT, and the SUPPLIER shall invoice the CLIENT based on the agreed rates, before commencement of the work.

III. The SUPPLIER will inform the CLIENT of any costs that may be incurred in the provision of service and will always seek the approval of the CLIENT prior to incurring such costs.

4. OBLIGATIONS OF THE CLIENT

In addition to the other obligations stipulated in this agreement, the CLIENT will:

I. Appoint a project manager from Senior Management to act as the project coordinator. The project manager will be the person to be contacted by the SUPPLIER for all information and authorizations required by the SUPPLIER. The CLIENT hereby warrants that the project manager will have the authority to decide any and all the issues arising out of the agreement.

II. The project manager should be given full powers to approve the software requirements thus ensuring no delays in obtaining sign offs. The project managers signature will be considered binding on the CLIENT so that there are no misunderstandings about the software requirements. Any rectification needed to obtain sign offs shall be communicated to the SUPPLIER in writing.

III. Make available to the SUPPLIER a core team well conversant in key areas of the CLIENT'S business. These may need to be dedicated to the project on a full time basis during the implementation.

IV. Consult with the SUPPLIER's project manager on any proposed changes to the requirements or for any work required from the SUPPLIER in respect to the project.

V. Avail to the SUPPLIER all necessary hardware and software environments and generally all means necessary for the performance of the agreement (including but not limited to offices, services and equipment).

VI. Avail all necessary master records, transaction data, required reports, system integration file formats and analysis structures if and when required during the implementation.

VII. Total compliance with the software contract and software licensing arrangements throughout the duration of this agreement so that the software contract and licensing arrangements remain in force throughout the period during which the SUPPLIER is to provide service.

VIII. Remit all software costs, licensing fees and services costs to the SUPPLIER under the terms and conditions set out in this agreement.

IX. The CLIENT will provide the SUPPLIER's staff on the assignment with office accommodation and normal telephone services without charge. This service will be used in a reasonable manner and solely for the purposes of achieving the goals set out in this agreement.

5. OBLIGATIONS OF THE SUPPLIER

In addition to the other obligations stipulated in this agreement and under the guidance of the approved Statement of works as stipulated in this agreement the SUPPLIER:

I. The SUPPLIER's project manager and the CLIENT'S project manager will work together to produce a project plan before commencement of the software implementation project. The project plan will detail the required tasks including expected delivery time for each task. This project plan shall be signed by both project managers representing the SUPPLIER and the CLIENT.

II. The SUPPLIER will produce the Software Specification Report agreed by the CLIENT that will serve as a configuration design for the new system.

III. The SUPPLIER will install the software in the CLIENT's computers for any change in the servers or any more installations are out of scope

IV. The software will be configured according to the specifications set out in the software specification report.

V. After software integration, testing and formal acceptance by the CLIENT, the SUPPLIER will assist in training of administrative users and super user.

VI. Once the system has gone live, the SUPPLIER will be on hand for a period of three months to assist in elimination of inevitable teething problems, inevitable when any new system is first commissioned.

VII. The SUPPLIER will offer free support for a period of one year from the go-live date before entering into a support agreement for the SOFTWARE with the CLIENT and will not be required to be stationed at the CLIENT's premises unless deemed necessary

VIII. Support services will be provided by the SUPPLIER on terms set out in a separate support agreement to be entered into by the SUPPLIER and the CLIENT.

6.1 Implementation and Consultancy Services

6.1.1 Requirement Specification Report

The first step after execution of the agreement, a Requirement specification report will be produced by the SUPPLIER. This document will detail the CLIENT's organization requirements from the application of the software in terms of functionality and configuration.

6.1.2 Time and Cost estimates

Both parties acknowledge that estimates concerning time and costs for software implementation projects cannot be strictly accurate and can only be interpreted as being estimates. Both parties will however put in their best effort to meet the agreed project timelines. The whole project before go live date should not exceed three months. The following table will detail the project timelines.

Phase		**Objectives/Activities**
1.	Project preparation (project charter)	▪ Ensuring that the necessary skills and resources for the project are available; ▪ Analysis of existing infrastructure; ▪ Defining responsibilities; ▪ Preparation of the project plan; ▪ Defining of project standards, i.e. change management training, technology and system control strategy; ▪ Level O for all the CLIENT personnel(project team, business managers and anybody else whose input will be required for the system's conceptual design; ▪ Official launch of the project.
2.	Visioning & Targeting(defining the user requirements and conceptual design)	▪ Analysis of the current functions and business processes i.e. document high level AS-IS processes; ▪ Assessment of existing processes to identify weakness; and/or additional users requirements; ▪ Mapping of existing processes to the best business processes as defined within the DYNAMICS products i.e. create To-Be processes ; ▪ Analysis of reports and forms that support the company business operations; ▪ Analysis of requirements (for interfaces and date conversion);
3.	System Customization & Development	▪ Customization of system modules to match the business conceptual design; Development of System modules as per user requirements ▪ Interfaces and add-ons; ▪ Configuration of forms and reports; ▪ Implement interface to existing systems.
4.	System Tests and	▪ Preparation and establishment of a productive environment for the system;

	Data Conversion	▪ Testing of all the individual modules and the system as a whole; ▪ Integration testing to ensure that all the modules are able to function and talk to one another as required; ▪ Stress testing; ▪ User approval testing; ▪ System Performance testing; ▪ Migration testing; ✓ Transfer of Master Data to a productive environment ✓ Conduct health checks ✓ Refine Disaster Recovery
5.	Training and Implementation	▪ End User training; ▪ Creation of user document; ▪ User Procedures; ▪ Preparation for Implementation; ▪ Training the end users.
6.	Go-Live	▪ Cut over to productive system; ▪ Initial user support; ▪ Optimization of technical and organizational operations.
7.	Support	▪ Provide user and technical support after the Go-Live.

6.2 System Acceptance Criteria

I. System acceptance at both functional and technical level will be defined at the point when operational system conforms to the solution as documented in the Software Requirement Specification report.

II. Test scripts are to be supplied by the CLIENT. These scripts shall form the basis for acceptance testing of the functionalities of the software for the CLIENT's business processes. Once both parties agree that the software has passed specific tests at 80% completion rate, both project managers will sign off the specific test scripts.

III. The user acceptance tests will be based on the Software Requirement Specification report.

6.3 Change Control

During the life cycle of the project, internal or external events may occur which affect the requirements as specified in the Requirement Specification report. There could also be changes in the project scope. To protect both parties, the following change control procedures will be followed:

I. When a change to the original requirements is identified, the CLIENT’s authorized representative will make a request for the change in writing.

II. The SUPPLIER’s project manager will then specify any additional time and impact to the project and respond to the request in writing.

III. If the changes are acceptable to both parties, the change request will be signed by both parties and the contract will be amended to incorporate any change requirements.

IV. The CLIENT’s authorized representative will be responsible for obtaining the relevant authority from the Principals necessary to sign the change control document.

6.4 Intellectual Property Rights

I. The SUPPLIER reserves copyright in any literary and artistic works and computer programs (“the Works”), which it has already produced through its own efforts prior to entering this Agreement or which it may produce or use in performing the Service pursuant to this Agreement. However, the SUPPLIER hereby confirms that after full and complete payment of the Service, the CLIENT shall be entitled to make use of the system and the Works which result from the provision of the Service without hindrance or payment of any further fees or royalties provided that such use is confined strictly to use of the system or the Works for the exclusive purpose of the CLIENT’s business activities as disclosed by the CLIENT to the SUPPLIER at the commencement of this Agreement. The CLIENT shall not be entitled to reproduce any of the works or any part thereof in any material form without first seeking the consent of the SUPPLIER.

II. The SUPPLIER also reserves the right to use the knowledge and the know-how it has acquired during the performance of the Service entrusted to it.

III. The SUPPLIER is entitled to perform for it or for third parties, services which are the same as the Service provided under this Agreement and to develop for itself or for third parties products which are identical, similar or competing with the products developed by its personnel for the CLIENT under this Agreement.

IV. If methods general or specific programs, software or software products, other tools in general, which the SUPPLIER owns or in which the SUPPLIER has been granted all necessary rights to perform the Service, are made available to the CLIENT, free of charge or otherwise, or are used to develop applications, they remain the SUPPLIER’s exclusive property. The CLIENT must take out a user license for these programs in order to be able to use them lawfully

6.5 Intellectual Property Infringement

Indemnity: The SUPPLIER shall indemnify the CLIENT at its sole expense, against all liability and expenses, including reasonable legal fees and costs, in any action or proceeding arising from a claim that the Software or the deliverables arising out of performance of support services infringe a duly issued patent, copyright or trade secret of a third party.

In the event of such an infringement claim, the SUPPLIER shall, at its expense, either:

I. Procure for the CLIENT the right to continue using said deliverable; or
II. Modify the infringing deliverable to make it non-infringing; or
III. Remove the infringing portion of the Software.

The indemnity in paragraph above is conditional upon:

I. The CLIENT promptly notifying and providing full details to the SUPPLIER in writing of a claim against the CLIENT of which it has notice.

II. The CLIENT not making any settlement or admission in respect of any such claim without the SUPPLIER's prior written consent.

6.6 Dispute Resolution

I. Both parties shall make every effort to resolve amicably by direct negotiation any disagreement or dispute arising between them under or with connection with the Contract.

II. If, after thirty days from the commencement of such informal negotiations, the parties have been unable to resolve amicably a contract dispute, either party may require that the dispute be referred to arbitration by a single arbitrator to be appointed by agreement between the parties to the dispute or in default of such agreement within 14 days of the notification of a dispute, upon the application of any party to the dispute, by the Chairman for the time being of the Chartered Institute of Arbitrators - **Kenya Chapter**"

III. Such arbitration shall be conducted in Nairobi in accordance with the Rules of Arbitration of the said Institute and subject to and in accordance with the provisions of the Arbitration Act 1995

IV. To the extent permissible by law, the determination of the Arbitrator shall be final and binding upon the parties.

6.7 Confidentiality

I. The SUPPLIER’s staffs are under a professional obligation not to disclose to a third party any information confidential to the CLIENT. Similarly, reports by the SUPPLIER are for use of the CLIENT alone and may not be disclosed to third parties without the written consent of SUPPLIER.

II. The Parties shall hold in confidence and shall use all best endeavors to procure that their employees and agents shall not, except with the prior written consent of the other Party, divulge information acquired as a result of this Agreement except when such information has been made public through no fault of either Party or as may be required by law or ordered by a court of competent jurisdiction.

III. This obligation shall remain effective for three (3) years following termination of this Agreement unless any such information genuinely falls into public domain.

6.8 No efforts to recruit staff

I. Barring prior written agreement of the other Party, each Party shall refrain from making direct or indirect recruitment offers to any of the other Party’s employees involved in providing the Service coming under the Agreement, or to hire such employee in any capacity whatsoever.

II. This undertaking shall remain effective for the term of the Agreement plus twelve (12) months from its termination for whatever reason.

III. In the event that one of the Parties does not comply with this obligation, it undertakes to indemnify the other Party by paying compensation equal to the total gross remuneration paid to the employee during the twelve (12) months proceeding his departure.

6.9 Force Majeure

Force majeure shall comprise of any unforeseeable event out of the control of the affected party which prevents the party from performing all or part of its obligations under this agreement. None of the parties will incur liability in the performance of this agreement if performance is delayed or prevented by force majeure, act of God, accidental events or any other disruptive events. These include but are not limited to:

I. Floods and fires

II. Natural disasters

III. Defective telecommunication network

IV. Civil uprising

V. Labor conflicts.

VI. Illness, resignation or death of key project staff

The party obstructed from performing its obligations shall attempt to limit the duration of the obstructive consequences. The lost time shall be deemed to be extended period to the project.

The affected party shall promptly notify the other party in writing of 'The force majeure notice' when such circumstances cause a delay in performance, specific failure in performance or inadequate performance and when performance ceased. If the circumstance occurs and continue for a period of 60 days, then either party shall be entitled to serve upon the other a 30 day notice to terminate the agreement. If at the end of the 30 days, the force majeure still continues, the contract shall be terminated and both parties released from the agreement.

7. TERMINATION OF THE AGREEMENT

I. Either party may, in the absence of breach of contract, terminate this agreement before the expiry of the contract period, by giving the other a 1 (one) month's written notice without necessarily stating the reason for the termination. This is subject to liabilities and costs already incurred till date being settled in full.

II. This agreement shall terminate upon expiry of a notice given by either party in the circumstances mentioned in paragraph 6.9

III. This agreement shall terminate when either party commits a breach of any provision of this agreement and where breach is capable of remedy and fails to remedy the same within 14 days after receipt of written notice giving full particulars of the breach and the steps required to remedy the breach.

IV. A receiver is appointed to take over the property or assets of either party.

V. Either party goes into liquidation or enters into a voluntary arrangement with its creditors, except for purposes of amalgamation or reconstruction.

VI. Either party threatens to or ceases to carry on business.

VII. Either party will be entitled to terminate the contract if the SUPPLIER's licenses are withdrawn or if these licenses are cancelled or not renewed when necessary payments have been made.

VIII. In the event of the termination of this agreement for any reason, the SUPPLIER will not be liable to refund any monies already paid to it by the CLIENT except in cases of advances given on any incomplete work.

8. APPLICABLE LAWS

This agreement, validity, construction, performance and execution shall be governed by and construed in accordance with Kenyan law. Any claims arising from this agreement will be subject to Kenyan law.

9. GENERAL

9.1 Notices

All notices in the terms of this agreement shall be in writing and shall be sent at the addresses provided by either party by post or by hand. The notice shall be deemed to have reached the addressee if delivered by hand on the day of the delivery or on the 8th business day after the date of mailing. Proof of contrary shall rest on the addressee.

9.2 Cession and Indemnification

I. Both parties shall not without consent of the other party in writing cede any rights or obligations in the terms of this agreement to any third party.

II. No extension of time or any other indulgence granted by either Party to the other shall be construed to be a replacement of obligation of any term or condition of this Agreement, or prejudice any rights of the Party granting such extension or indulgence.

III. The CLIENT shall indemnify the SUPPLIER for the amount of any judgment and costs, including the SUPPLIER’s costs as between attorney and own client occasioned thereby, in all actions that may be instituted against the SUPPLIER for the infringement of any copyright or patent applicable to the System.

IV. The SUPPLIER will carry out the work as directed by the CLIENT for specific purposes and thus the SUPPLIER’s records will be confidential to the CLIENT. The SUPPLIER will not accept liability to third parties who may be shown the SUPPLIER’s records who on their own accord decide to rely on them.

V. The entire SUPPLIER organization and its members shall not be liable for any loss or damage, costs or expenses directly or indirectly incurred as a result of information supplied by the CLIENT and its members.

VI. The SUPPLIER shall accept liability to pay damages for losses arising as a direct result of breach of contract or negligence on their part.

VII. The SUPPLIER will not be liable to the CLIENT or any third party claiming through or on behalf of the CLIENT for any punitive damages whatsoever or for any consequential or other loss or damages beyond the maximum liability specified.

10. ACCESS TO SOFTWARE AND DATA

In the event that the SUPPLIER for whatever reason ceases business, the CLIENT shall be entitled to receive the software applications & licenses of the business application system as well as the data therein.

10.1 Divisibility

I. Should any stipulation in this agreement prove to be legally wrong, it shall not render the entire agreement invalid, and the remainder remains enforceable between the parties.

II. Both parties shall not assign, transfer or dispose of any of its rights or obligations herein to any other party without prior written consent.

10.2 Non Partnership

The SUPPLIER is an independent contractor and nothing in this agreement shall constitute or be deemed to constitute a partnership between the parties hereto or constitute the SUPPLIER as an agent of the CLIENT for any purpose and vice versa.

10.3 Amendment of Agreement

No waiver, alteration, variation or addition to this agreement shall be effective unless made expressly in writing on or after the date of execution of this agreement by both parties and accepted by an authorized signatory of both parties.

10.4 Status of SUPPLIER's employees

The SUPPLIER's employees are the employees of the SUPPLIER and at no given time whatsoever will they be treated as the CLIENT's employees. Nothing in the agreement shall establish the relation of master and servant as between the CLIENT and the SUPPLIER's employees.

11. LIABILITY

I. The SUPPLIER warrants that the Service shall be performed in accordance with this Agreement. In the event that it is demonstrated that the Service given, have not been performed in accordance with this Agreement, then the SUPPLIER's sole liability for such non-performance shall be to rectify the non-performance by further work at its own cost. The SUPPLIER shall not be liable to perform any further work pursuant to this warranty unless the CLIENT makes a written claim for non-performance within one (1) month after the performance of the Service by the SUPPLIER. The CLIENT and the SUPPLIER shall mutually agree the extent of the non performance within 7 days after the receipt of the written claim.

II. Any work signed off by the CLIENT's authorized representative cannot be classified as non-performance.

III. SUPPLIER's liability arising out of or related to this agreement, including without limitation liability for breach of contract or negligence, will not exceed the amount paid for only the software under this agreement. In no event will the SUPPLIER be liable to the CLIENT for any consequential, indirect, special, incidental or punitive damages, regardless of the form of action, whether in an agreement, tort, strict liability or otherwise, even if advised of the possibility of such damages and even if the damages were foreseeable

12. WARRANTIES

I. The SUPPLIER warrants that the software does not infringe or violate any known trademarks, trade names, copyrights, patents or other property rights and is the proprietary property of the SUPPLIER.

II. The SUPPLIER Warrants that the software shall be reasonably fit for the purposes for which it is to be used by the CLIENT in accordance with the requirements of the CLIENT.

III. The SUPPLIER warrants that the software shall operate substantially in accordance with the Documentation and that the SUPPLIER will correct promptly and at no extra charge any error in the software identified by the CLIENT and notified to the SUPPLIER. The warranty period given is one year from the date of system go live.

IV. Notwithstanding the above warranties the SUPPLIER shall have no responsibilities for failures brought about by local power or telecommunication problems.

V. Any authorized modification to the software by the CLIENT, its employees, agents or third parties, shall not invalidate the SUPPLIERs warranties. Authorization to modify the software shall be given by the SUPPLIER unless the request for such authorization relates to modifications which would jeopardize the performance of the software.

VI. The SUPPLIER's warranties will not be invalidated by interface with any terminal system provided the software for the system has been developed by the SUPPLIER or to the SUPPLIER's specification or specifications developed by or for the CLIENT and approved by the SUPPLIER which approval shall not be unreasonably withheld.

Agreement Acceptance

DATED, SEALED and SIGNED at ______________ on this the _______ day of _________2021

For: Trimline Systems & Solutions.
(Who warrants that he/she is duly authorized hereto)

1.______________________

2.______________________

DATED, SEALED and SIGNED at ______________ on this the _______ day of _________2021

For: GITHERE CO-OPERATIVE SAVINGS & CREDIT SOCIETY LIMITED
(Who warrants that he/she is duly authorized hereto)

1.______________________

2.______________________

Prepared by:

Paul Njoroge

Technical Manager

TRIMLINE SYSTEMS & SOLUTIONS